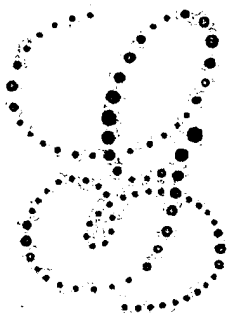
Company Registration No. 08126173 (England and Wales)

Greensill Capital (UK) Limited

Annual report and financial statements for the year ended 31 December 2019



MAKING FINANCE FAIRER

THURSDAY
A9L3ACVE
A14 31/12/2020 #430
COMPANIES HOUSE

Company information

Directors	Alexander Greensill William Crothers Alastair Eadie Bartholomeus Ras Neil Garrod Sean Robson-Hanafin
Secretary	Jonathan Lane
Company number	08126173
Registered office	One Southampton Street Covent Garden London WC2R 0LR
Independent auditor	Saffery Champness LLP 71 Queen Victoria Street London EC4V 4BE

Greensill Capital (UK) Limited

Contents

	Page
Strategic report	4 - 12
Directors' report	13 - 14
Independent auditor's report	15 - 17
Statement of comprehensive income	18
Statement of financial position	19 - 20
Statement of changes in equity	21
Statement of cash flows	22
Notes to the financial statements	23 - 53

The directors present the strategic report and financial statements for the year ended 31 December 2019.

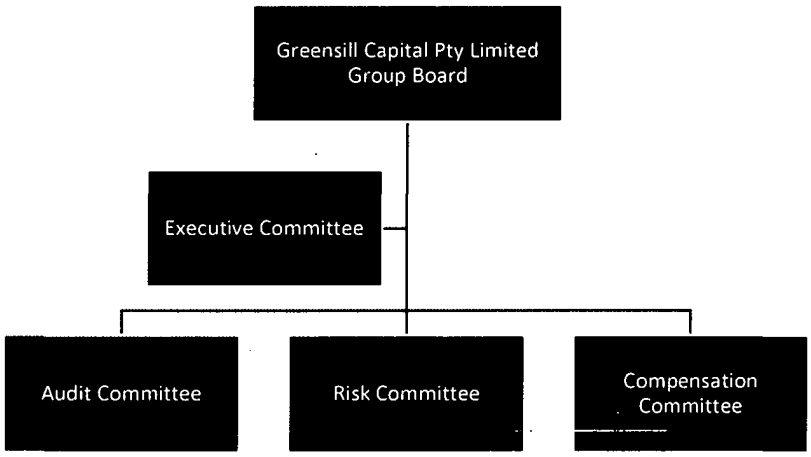
Understanding the Greensill Group

Structure and Governance .....

Greensill Capital (UK) Limited (the "Company") is a wholly owned subsidiary of Greensill Capital Pty Limited (the "Group Parent Company") which is registered in Queensland, Australia. The Company is the main trading entity amongst a number of subsidiaries which comprise the Greensill group (the "Group").

The Group also has a number of other trading companies including, inter alia, Greensill Bank AG, Finacity Corporation and Earnd (UK) Limited (formerly Freeup Finance Limited). The latter two having been acquired into the Group during 2019.

The Company benefits from a governance structure which is applied at a Group level as shown below:



The directors of the Company believe it is helpful for the users of the accounts to have an overview of how the Group operates, its governance structure and key strategic events which have occurred during the year, as it provides context to the performance of the Company.

Greensill Group at a glance

About us: Making finance fairer.....

The Greensill Group was founded in 2011 with a vision to make working capital faster, cheaper and easier to access for businesses of all sizes. We accelerate the movement of cash to where it is needed most, in the real economy.

The Group now has more than 800 specialists worldwide and is one of the market-leading providers of working capital finance for businesses and workers globally. The Group uses the power of financial markets to unlock capital on terms that fit the needs of our clients.

What we do: Working with our clients to tailor precise financial solutions.....

Through continuous innovation, we create and develop unique working capital finance solutions for our clients in four main areas across the Group:

- ***Supply chain finance***

  The Group's unique model provides early payments at lower cost to suppliers so that businesses have access to capital when they need it.

- ***Earnd***

  With the acquisition of Earnd, an instant salary payment app, the Group is now extending its vision for getting cash to suppliers sooner to getting pay to employees quicker. Employees who are akin to suppliers effectively have 30 day payment terms with their employer. With Earnd, employees can access their salary, as soon as they have 'earned it' and at no cost to them.

- ***Working capital solutions***

  The Group was formed on the simple belief that access to working capital should be easier, better priced and more readily available. Our Working Capital Solutions break down primarily into Portfolio Financing; the monetization of receivables portfolios and Business Cash Advances across a variety of industries.

- ***Receivables financing and securitisation***

  Efficient and cost-effective set-up of accounts receivables purchasing facilities is enabled by the Group's unique platform and includes the structured securitisation of receivables and a client reporting platform, powered by Finacity.

Innovation that makes an impact.....

The Group creates new and innovative products to help our clients unlock capital so they can put it to work.

Our innovative proprietary FinTech platform is central to our greater speed and agility compared to traditional bank providers of supply chain finance and enables faster, data driven, solutions around credit risk, risk and fraud detection, entity and asset scoring, pricing, proposals and generation of investment instruments. This is a robust, scalable platform supported by expert human intervention and oversight.

It is this unique combination of technology, people and entrepreneurial culture that enables the Group to focus on its core purpose of accelerating the movement of capital into the real economy, where it is needed most.

Where we operate.....

The Company is headquartered in the United Kingdom, however the Group operates across the globe, including in the United States, Germany, Australia and Singapore. The Group has also recently opened offices in China, South Africa and Abu Dhabi.

Our performance in the year.....

The Company has grown substantially over recent years:

	2019 $m	2018 $m	2017 $m
Revenue	420	234	116
EBITDA([1])	42	41	35

CEO's statement.....
This was a pivotal year for the Group, of which the Company is a key part. At Group level, we delivered a significant increase in revenue, secured external investment and made two acquisitions as we successfully executed against our strategy. At the same time, we continued to invest in our people and infrastructure to drive future strong growth across the business. The actions that we have taken this year are important building blocks in the implementation of the Group Parent Company Board's vision for the future.

SoftBank Vision Fund investment
During 2019, we were delighted that SoftBank invested an aggregate $1.46 billion in the Group Parent Company which resulted in SoftBank becoming a significant and supportive shareholder in our business.

Following this investment, we are accelerating the growth of our business, expanding into new markets, notably the Middle East and China, and made two acquisitions that further strengthened our existing products and enabled us to significantly expand our product offering.

Finacity and Earnd acquisitions
In June 2019, Finacity Corporation ("Finacity") was acquired into the Group. Finacity is a leader in specialized receivables securitisation based in the USA. The acquisition resulted in combining Finacity's core securitisation expertise with the Group's broad range of financing solutions and diversified funding sources. This has ensured that we can offer our clients a superior and comprehensive set of best-in-class financing solutions to solve an ever-broadening range of client needs.

In October 2019, Earnd (UK) Limited (formerly Freeup Finance Limited) ("Earnd") was acquired into the Group. Earnd is a developer of technology that enables workers to receive early payment for earned, but unpaid wages at no cost to them. This acquisition, together with the purchase of Earnd Pty Limited in Australia post year end, was an important strategic development for the Group: it accelerated our entry into a new market segment through the combination of our existing supply chain finance expertise with Earnd's cutting-edge technology.

Finacity and Earnd (UK) have been swiftly integrated into the Group and I am confident that they will prove to be successful stepping-stones in helping us achieve our growth ambitions over the coming years.

Financial performance
I am pleased with the Company's financial performance this year. Revenue has increased from $234m to $420m, a 79% increase, with profit for the year being broadly stable at $32m. Our total assets, outlined in the Statement of Financial Position, increased from $278m at 31 December 2018 to $682m at 31 December 2019, primarily driven by an increase in financial assets and cash. Current liabilities also rose from $149m to $513m, with amounts due to fellow Group undertakings increasing by $189m and accruals by $168m.

([1]) EBITDA is calculated as profit before finance income and costs, taxation, depreciation and amortisation.

CEO's statement (continued).....

We increased our cash and cash equivalents by $173m in 2019, up from a net outflow of $35m in the prior year. We have used some of the cash flow created by the additional revenue to invest in our people and infrastructure, including over $6m in leasehold improvements to our properties, primarily in Daresbury. Whilst a significant proportion of our new staff[2] have a sales focus, we have also invested in our support functions to ensure our systems, processes and governance procedures keep pace with the growth in the business. I am particularly pleased that we have appointed a new President, Chief Financial Officer, Chief Credit Officer and Regulatory & Governance Vice Chairman this year.

We have invested in our data analysis capabilities, a key driver in how we shape financing solutions for our clients going forward. We use a vast range of data techniques and algorithms to better understand such things as the timeliness of payments, the probability of a receivable payment being reduced or diluted and the probability of a receivable not matching against a purchase order. Having this meaningful data gives us better insight into our customers and, therefore, we can better tailor the solutions we provide to them.

We have made strong progress in 2019 and I look forward to the future with confidence.

.....
Alexander Greensill
Date: 22 May 2020

(2) All UK employees are employed by a wholly owned subsidiary of the Group, Greensill Capital Management (UK) Limited.

Corporate governance.....

The Company is evolving a governance framework in response to its rapid growth and to align with the Groups governance structures.

Our Board

Alexander Greensill

Lex is the co-founder and CEO of the Greensill Group.

Prior to starting Greensill, Lex was Managing Director and Head of Supply Chain Finance for Europe, Middle East & Africa at Citibank, and established Morgan Stanley's global supply chain finance business.

Lex is a venture capitalist — backing several successful start-ups — and is a Solicitor of the Supreme Court of England and Wales and the Supreme Court of Queensland, Australia.

Lex was awarded the CBE for services to the UK economy in 2017 and won EY Australia's Entrepreneur of the Year in 2019.

William Crothers

Bill is the Vice Chairman Public Sector and a member of the Group Audit Committee.

Bill was a senior civil servant for eight years, most recently as the UK Government's Chief Commercial Officer managing £40 billion of government spend and driving over £5 billion of savings. He previously founded and chaired the UK Government's Crown Commercial Service and was its first executive Chairman.

Bill spent 25 years in the private sector before this, with 21 of those at Accenture where he was a Senior Executive and UK Board member.

Bill was awarded a CB in 2014 for Services for to Government Efficiency and Commercial Capability.

Neil Garrod

Neil is Greensill Group's Chief Financial Officer.

Prior to joining the Greensill Group, Neil spent 18 years at Vodafone, 10 of them as Global Group Treasurer, where he was responsible for funding global operating subsidiaries and managing financial risk. He also actively participated in Vodafone's M&A activity where he established the valuation framework and policy used for targeting and executing acquisitions.

Our Board (continued)

Sean Robson-Hanafin

Sean is President of the Greensill Group.

Sean previously served as Head of Corporate Banking for UK & Europe at Standard Chartered. He was also the CEO of a high-net-worth family office, managing the IPO of its major portfolio company on the NYSE and managing investments across a range of asset classes.

Sean has 25 years of experience in banking and corporate finance, including 14 years at Citigroup, where he was a Managing Director and led the bank's UK Energy and TMT corporate banking teams. He has served as a Senior Advisor to the UK Government's Cabinet Office on Capital Markets and Corporate Finance, and as an Advisory Member of the UK Chancellor of the Exchequer's Green Investment Bank Commission.

Alastair Eadie

Al is Group Finance Director.

Al has over 30 years' experience with roles at MSCI, Aviva, UBS, EY and Accenture where he was responsible for establishing best-practice finance processes and reporting and driving growth. He is a fellow chartered accountant (FCA) and qualified treasurer (AMCT).

Bartholomeus Ras

Bart is the UK Managing Director of the Greensill Group and Global Head of the Innovation and Incubator team. His core focus is data driven finance and artificial intelligence and is associated with Windesheim University as a research fellow.

Bart has over 25 years of experience in Treasury, Purchasing, Supply Chain, Structured Trade Finance and Working Capital Solutions. Bart held various positions at Phillips in Treasury and as CFO of Philips Supply Management and Purchasing before joining Citi as EMEA Head of Supply Chain Finance. Most recently, Bart was Global Head of Business Development for HSBC Global Trade and Receivable Finance.

A number of the directors were newly appointed this year (see page 13). They were selected based on their skills, knowledge and ability to develop and instill a governance structure which is commensurate with the growth aspirations of the business.

Board responsibilities

The Company continues to develop policies and procedures to support effective decision-making throughout the organisation and to enable the directors to discharge their duties and responsibilities.

Board Remuneration

There is a Compensation Committee at Group level, comprising all non-executive directors, which decides the remuneration of staff, including the Board directors, assisted by a Chief People Officer who is responsible for development of remuneration structures and policies.

Opportunity and risk

The directors promote the long-term success of the Company by continually identifying opportunities to create and preserve value, primarily through new products and services to accelerate cash to our customers and their suppliers.

The Board appreciate that establishing oversight for the identification and mitigation of risks is critical to the business, and it is in within this context that the Group Risk Committee, which meets at least quarterly, considers the risk appetite and risk profile of the Company. The Group Risk Committee has created a Franchise Risk Committee and two regional Credit Risk Committees.

The directors have identified the following as the Company's key risks:

- *Credit Risk*
  The Company originates assets which, primarily, are distributed to 3rd parties or to other Group companies. Counterparty default risk is mitigated by using credit insurance in respect of certain of those assets. The Company takes a first loss on that credit insurance, and as such is indirectly exposed to default risk on the originated assets, despite them primarily not being held on the Company's statement of financial position. The Company continues to enhance the rigor of its credit framework and monitoring processes to mitigate this risk.

- *Liquidity Risk*
  With the increase in the number of transaction and clients, oversight of the Company's cashflow and statement of financial position has become of greater importance. The Company has established a treasury function to enhance the treasury framework and policies.

- *Concentration on certain customers, key employees and suppliers*
  The Company has seen significant revenue growth over the last two years. As a result, there has been customer concentration and dependency on key employees and suppliers. The Company continues to focus on expanding its customer base, broaden its suppliers and recruiting employees into critical teams within the business, to reduce this concentration.

- *Transformation*
  Given the rapid levels of change taking place, we are exposed to transformation risk (risk of loss or failure resulting from change). We ensure appropriate risk management and governance across our transformation activity. Every major initiative is overseen by a senior member of the executive leadership team and associated risks are monitored closely, supported by robust governance and programme/project management structures. In addition, we have strengthened our HR capabilities to ensure we continue to attract the retain the right calibre of staff.

- *COVID-19 pandemic*
  The impact COVID-19 will have on Global economies is still unclear and rapidly evolving. What is clear is that companies, big and small, are likely to need liquidity. The directors believe the Company is in a unique position to source liquidity for its clients, through a combination of new and existing funding sources attracted by the stability of the net asset value of the assets it originates, and Central Bank funding schemes. The Company expects to be able to support customers through the pandemic.

Opportunity and risk (continued)

The directors do not believe there is any financial impact to the financial statements for the year ended 31 December 2019 as a result of this pandemic. Year end provisions relating to the Company's exposure to originated assets, primarily through its first loss on insurance contracts, has been reassessed and the directors feel are still sufficient. The Company is monitoring developments relating to coronavirus and is coordinating its operational response based on existing business continuity plans and on guidance from global health organizations, relevant governments, and general pandemic response best practices. The credit risk team continue to apply the Group's credit policies and procedures and monitor originated assets and procure credit insurance which has the Company exposed for a first loss amount consistent with historic practices.

Stakeholder engagement

As the business grows, the directors believe it has a key role to play in ensuring there is meaningful and regular engagement with its stakeholders, including employees, suppliers, investors and customers.

Staff interaction and participation

The Group Chief Executive holds a weekly call to update staff on developments within the business from a commercial perspective, but also in terms of organisational developments, new personnel appointments, geographic expansion and social and environmental initiatives being undertaken by the Company.

Pulse surveys are undertaken to ensure there is a formal feedback mechanism for staff, this is in addition to regular interaction with line managers regarding goals, aspirations and the general working environment.

There is a Group share option scheme in which all staff can participate. This promotes a common purpose and allows staff to share in the long-term success of the Group.

Suppliers
Suppliers are a cornerstone of the Company's business. This ranges from the supply of goods and financial services, many of which are extremely important to the way we do business, through to the organisations with whom we partner to deliver the cash advances upon which our customers rely. The directors engage with strategic suppliers on a regular basis, not only to ensure continuity of supply but also to manage dependency risk.

Customers
Customers are the foundations of our business. Given the nature of the service we provide, it is important our customers have confidence that we will deliver on our commitments. We invest significant time not only in developing new customer relationships, but ensuring we understand the changing nature of our existing clients' business and how we can support them as they evolve.

In Conclusion ...

Maintenance of the highest standard of business conduct is critical to the Company, as is acting fairly in its dealings with stakeholders. The directors consider they have acted in a way that promotes the success of the Company for the benefits of its shareholders. The directors believe the growth of the Company, within the current business model, is in the Company's long-term interest and provides employees with opportunities to develop and grow with the business. It provides sustainability of supply to our customers and an opportunity for our suppliers to support our growth. Profitable growth allows the Company to develop and invest in new products, which the directors believe is not only in the Company's interest, but also has a wider impact on the economy. This in turn is expected to lead to the employment of more people which will have a positive impact on the communities within which we operate.

On behalf of the board

.....

Alexander Greensill
Director
22 May 2021

Directors' report
For the year ended 31 December 2019

The directors present their annual report and financial statements for the year ended 31 December 2019.

Principal activities
The principal activity of the Company continued to be the provision of working capital finance.

Results and dividends
The results for the year are set out on page 18.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Alexander Greensill	
Jason Austin	(Resigned 21 June 2019)
William Crothers	
Christopher Bates	(Resigned 9 January 2019)
Jonathan Lane	(Resigned 24 July 2019)
Alastair Eadie	(Appointed 19 February 2019)
Bartholomeus Ras	(Appointed 19 February 2019)
Neil Garrod	(Appointed 24 July 2019)
Sean Robson-Hanafin	(Appointed 24 July 2019)

Auditor
Saffery Champness LLP have expressed their willingness to remain in office as auditors of the Company.

Statement of directors' responsibilities
The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with International Financial Reporting Standards (IFRSs) as adopted by the European Union. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, International Accounting Standard 1 requires that directors:

- properly select and apply accounting policies;
- present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- provide additional disclosures when compliance with the specific requirements in IFRSs are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Company's financial position and financial performance; and
- make an assessment of the Company's ability to continue as a going concern.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the Company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the Company's auditor is aware of that information. This confirmation is given and should be interpreted in accordance with the provisions of s.418 of the Companies Act 2006.

On behalf of the board

.....
Alexander Greensill
Director
Date: 22 May 2020

Independent auditor's report
To the members of Greensill Capital (UK) Limited

Opinion

We have audited the financial statements of Greensill Capital (UK) Limited (the 'Company') for the year ended 31 December 2019 which comprise the income statement, the statement of financial position, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and International Financial Reporting Standards (IFRSs) as adopted by the European Union.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2019 and of its profit for the year then ended;
- have been properly prepared in accordance with IFRSs as adopted by the European Union; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the Company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the statement of directors' responsibilities set out on page 14, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Michael Di Leto (Senior Statutory Auditor)
for and on behalf of Saffery Champness LLP

26 May 2020

Chartered Accountants
Statutory Auditors

71 Queen Victoria Street
London
EC4V
4BE

Greensill Capital (UK) Limited

Statement of comprehensive income
For the year ended 31 December 2019

	Notes	2019 $'000	2018 $'000
Revenue	4	419,614	233,619
Cost of sales		(135,318)	(82,267)
Net revenue		284,296	151,352
Other operating income		19,798	618
Administrative expenses		(219,287)	(92,569)
Impairment expenses		(47,311)	(19,002)
Operating profit	5	37,496	40,399
Finance income	7	1,448	2,517
Finance costs	8	(2,845)	(1,266)
Other gains and losses	9	2,035	-
Profit before taxation		38,134	41,650
Income tax expense	10	(6,344)	(8,303)
Profit and total comprehensive income for the year		31,790	33,347

The income statement has been prepared on the basis that all operations are continuing operations.

The notes on pages 23 to 53 form part of these financial statements.

Greensill Capital (UK) Limited

Statement of financial position
As at 31 December 2019

	Notes	2019 $'000	2018 $'000
Non-current assets			
Intangible assets	11	383	-
Property, plant and equipment	12	20,778	2,275
Investments	13	793	112
Deferred tax asset	15	599	3,309
		22,553	5,696
Current assets			
Cash and cash equivalents		251,122	78,043
Financial assets	16	281,685	93,968
Trade and other receivables	17	126,941	100,039
		659,748	272,050
Total assets		682,301	277,746
Current liabilities			
Trade and other payables	18	448,801	128,825
Current tax liabilities		1,188	3,284
Lease liabilities	19	739	-
Provisions	20	59,269	16,558
Financial liabilities	21	3,077	-
		513,074	148,667
Net current assets		146,674	123,383
Non-current liabilities			
Lease liabilities	19	13,889	-
Total liabilities		526,963	148,667
Net assets		155,338	129,079
Equity			
Called up share capital	23	13	13
Share premium account		134,773	134,773
Other reserves		(15,286)	(9,960)
Retained earnings		35,838	4,253
Total equity		155,338	129,079

The notes on pages 23 to 53 form part of these financial statements.

The financial statements were approved by the board of directors and authorised for issue on 22 May 2020 and are signed on its behalf by:



.....
Alexander Greensill
Director

Company Registration No. 08126173

Greensill Capital (UK) Limited

Statement of changes in equity
For the year ended 31 December 2019

	Share capital	Share premium account	Other reserves	Retained earnings	Total
	$'000	$'000	$'000	$'000	$'000
Balance at 1 January 2018	13	134,773	(9,960)	(29,094)	95,732
Year ended 31 December 2018:					
Profit and total comprehensive income for the year	-	-	-	33,347	33,347
Balance at 31 December 2018	13	134,773	(9,960)	4,253	129,079
Effects of changes in accounting policies	-	-	-	(205)	(205)
Balance at 1 January 2019	13	134,773	(9,960)	4,048	128,874
Year ended 31 December 2019:					
Profit and total comprehensive income for the year	-	-	-	31,790	31,790
Contribution to Employee Benefit Trust	-	-	(5,326)	-	(5,326)
Balance at 31 December 2019	13	134,773	(15,286)	35,838	155,338

The notes on pages 23 to 53 form part of these financial statements.

Greensill Capital (UK) Limited

Statement of cash flows
For the year ended 31 December 2019

	Notes	$'000	2019 $'000	$'000	2018 $'000
Cash flows from operating activities					
Cash generated from/(absorbed by) operations	**30**		201,595		(3,575)
Interest paid			(2,396)		(1,266)
Tax paid			(5,687)		(2,828)
Net cash inflow/(outflow) from operating activities			193,512		(7,669)
Investing activities					
Purchase of intangible assets		(418)		-	
Purchase of property, plant and equipment		(7,336)		(1,382)	
Proceeds on disposal of property, plant and equipment		(2)		-	
Purchase of investments		(681)		(24,400)	
Purchase of loan notes and participations		(7,394)		(3,853)	
Interest received		1,448		2,517	
Net cash used in investing activities			(14,383)		(27,118)
Financing activities					
Contribution to Employee Benefit Trust		(5,326)		-	
Payment of lease liabilities		(724)		-	
Net cash used in financing activities			(6,050)		-
Net increase/(decrease) in cash and cash equivalents			173,079		(34,787)
Cash and cash equivalents at beginning of year			78,043		112,830
Cash and cash equivalents at end of year			251,122		78,043

The notes on pages 23 to 53 form part of these financial statements.

1 Accounting policies

Company information

Greensill Capital (UK) Limited is a private company limited by shares incorporated in England and Wales. The registered office is One Southampton Street, Covent Garden, London, WC2R 0LR.

1.1 Accounting convention

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as adopted for use in the European Union and with those parts of the Companies Act 2006 applicable to companies reporting under IFRS (except as otherwise stated).

The financial statements are prepared in US dollars, which is the functional currency of the Company. Monetary amounts in these financial statements are rounded to the nearest $'000, except as otherwise stated.

The financial statements have been prepared on the historical cost basis, unless otherwise stated. The principal accounting policies adopted are set out below.

During 2019, management have made a change to the Statement of Comprehensive Income and Statement of Financial Position presentation to make the presentation more relevant to the nature of the Company's operations and the internal management reporting. This has resulted in the separate presentation of cost of sales, with an offsetting reduction in administrative expense. In accordance with IAS 1, 2018 comparatives have also been restated. There has been no change to profit for the year or prior year as a result of these reclassifications.

This has also resulted in a change in presentation of some current asset and current liability balances, however has had no impact on total assets, total liabilities or net assets.

The Company has taken advantage of the exemption under section 401 of the Companies Act 2006 not to prepare consolidated accounts. The financial statements present information about the Company as an individual entity and not about its group.

Greensill Capital (UK) Limited is a wholly owned subsidiary of Greensill Capital Pty Limited and the results of Greensill Capital (UK) Limited are included in the consolidated financial statements of Greensill Capital Pty Limited which are available from Level 1, 62-66 Woondooma Street, Bundaberg, QLD 5670, Australia.

1.2 Going concern

The Company is required to assess whether it has sufficient resources to continue its operations and to meet its commitments for the foreseeable future. The directors have prepared the financial information on a going concern basis, as in their opinion the Company is able to meet its obligations as they fall due. This opinion is based on detailed forecasting, taking into account current and expected market conditions together with current performance levels, for the 12 month period from the date of signing the financial statements. Should the going concern assumption no longer remain valid the carrying value of the Company's assets will need to be assessed for impairment and the statement of financial position will need to be prepared on a break-up basis.

1 Accounting policies (continued)

1.3 Revenue

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service (i.e an asset) to a customer. An asset is transferred when (or as) the customer obtains control of that asset. Revenue is recognised at the fair value of the consideration received or receivable for goods and services provided in the normal course of business, and is shown net of VAT and other sales related taxes. Variable consideration on working capital finance transactions is included in the transaction price to the extent that it is highly probable that there will be no significant reversal of the cumulative revenue recognised when the uncertainty is resolved.

Trading revenue
Trading revenue is derived from providing working capital solutions as gains on originating assets which are then distributed. Assets which are retained by the Company earn interest, recognised under the effective interest method, as noted below.

Fee and Commission income
The Company earns structuring fees in relation to the provision of working capital facilities when the related performance obligation has been satisfied. When (or as) a performance obligation is satisfied, the Company recognises as revenue the amount of the transaction price that is allocated to that performance obligation. The transaction price is the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts it collects as an agent.

Interest income
Interest is recognised using the effective interest method, being the rate that exactly discounts estimated future cash receipts through the expected life of the debt instrument to the net carrying amount on initial recognition.

Gain on disposal of non-current assets
When a non-current asset is disposed, the gain or loss is calculated by comparing proceeds received with its carrying amount and is taken to profit or loss.

1.4 Intangible assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the Company and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the Company.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives.

1 Accounting policies (continued)

1.5 Property, plant and equipment

Property, plant and equipment are initially measured at cost and subsequently measured at cost net of depreciation and any impairment losses. Costs include purchase price, other directly attributable costs and the initial estimate of the costs of dismantling and restoring the asset, where applicable.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Right-of-use assets	over the length of the lease
Leasehold improvements	over the length of the lease
Office equipment	over 4 years
Art work	not depreciated

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the income statement.

1.6 Non-current investments

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

A subsidiary is an entity controlled by the Company. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

1.7 Impairment of tangible and intangible assets

At each reporting end date, the Company reviews the carrying amounts of its non-financial assets that are normally subject to amortisation or depreciation to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually, and whenever there is an indication that the asset may be impaired.

1 Accounting policies (continued)

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease in equity.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase in equity.

1.8 Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.9 Financial assets

The origination, purchase or sale of financial assets are recognised on the trade date – being the date on which the Company commits to originate, purchase or sell the asset. Initial recognition is recorded at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the investments have expired or have been transferred, and the Company has transferred substantially all risks and rewards of ownership.

There are three primary measurement categories for financial assets being:

a) amortised cost;

b) fair value through other comprehensive income (FVOCI); and

c) fair value through profit or loss (FVTPL).

The Company's business model objective for the relevant financial assets is the key driver for determination of classification. Under IFRS 9, derivatives embedded in financial assets are not bifurcated but instead the whole hybrid contract is assessed for classification.

1 Accounting policies (continued)

a) Financial assets at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

i. it is held in order to collect contractual cash flows; and
ii. it contains contractual terms that give rise on specified dates to cash flows that are solely payments of principal and interest.

These assets are subsequently measured at amortised cost using the effective interest method, which is the rate that exactly discounts estimated future cash receipts through the expected life of the debt instrument to the net carrying amount on initial recognition. The amortised cost is reduced by impairment losses (see below). Any gain or loss on derecognition is recognised in profit or loss.

b) Financial assets at fair value through other comprehensive income (FVOCI)

Debt instruments are measured at FVOCI if they are held for a business model achieved by collecting contractual cash flows and selling, and contain contractual terms that give rise on specified dates to cash flows that are solely payments of principal and interest. After initial recognition, these assets are subsequently measured at fair value. Interest income is calculated using the effective interest method, and impairment losses are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI, on an investment-by-investment basis. These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

c) Fair value through profit or loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes financial assets held for trading, and all derivative financial assets. On initial recognition, the Company may irrevocably designate at FVTPL a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI, if this eliminates or significantly reduces an accounting mismatch that would otherwise arise.

1 Accounting policies (continued)

Impairment of financial assets

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows of the investment have been affected. An expected credit losses (ECL) model replaces the incurred loss impairment model used in IAS 39. For financial liabilities designated at fair value through profit or loss, changes in own credit risk are now recorded in other comprehensive income.

The IFRS 9 ECL model requires the classification of credit exposed assets between Stage 1 (performing), Stage 2 (under-performing) and Stage 3 (non-performing). This classification has a significant impact on the accounting, since how an asset is classified dictates whether ECL is based on 12-month expected loss (Stage 1), lifetime expected loss (Stage 2), or lifetime incurred and expected loss (Stage 3).

Under IFRS 9, loss allowances are measured on the following bases:

- 12-month ECLs: these are ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date; and
- lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition. When determining whether there has been a significant increase in credit risk, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes quantitative and qualitative information, which is based on the Company's historical experience and informed credit assessment and includes forward-looking information. The Company assumes that credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk. Measurement of ECLs requires a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls, representing the difference between the cash flows due to the Company in accordance with the contract and the cash flows that the Company expects to receive. ECLs are discounted at the effective interest rate of the financial asset. Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For certain new portfolios of assets, management does not have reasonable and supportable information that is available without undue cost or effort to measure lifetime ECL on an individual instrument basis. In that case, lifetime ECL is recognised on a collective basis that considers comprehensive credit risk information, incorporating not only past-due information but also all relevant forward-looking information, in order to estimate ECL in respect of the asset portfolio.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership to another entity.

1 Accounting policies (continued)

1.10 Financial liabilities

Financial liabilities are measured at amortised cost or FVTPL (when they are held for trading). Financial liabilities can be designated at FVTPL if managed on a fair value basis or if the designation eliminates or reduces an accounting mismatch. For financial liabilities designated as at FVTPL using the fair value option, the element of gains or losses attributable to changes in the entity's own credit risk should normally be recognised in OCI, with the remainder recognised in profit or loss. These amounts recognised in OCI are not recycled to profit or loss if the liability is ever repurchased at a discount.

Financial liabilities at fair value through profit or loss

Financial liabilities are classified as measured at fair value through profit or loss when the financial liability is held for trading. A financial liability is classified as held for trading if:

- it has been incurred principally for the purpose of selling or repurchasing it in the near term, or
- on initial recognition it is part of a portfolio of identified financial instruments that the Company manages together and has a recent actual pattern of short-term profit taking, or
- it is a derivative that is not a financial guarantee contract or a designated and effective hedging instrument.

Financial liabilities at fair value through profit or loss are stated at fair value with any gains or losses arising on remeasurement recognised in profit or loss.

Other financial liabilities

Other financial liabilities, including borrowings, trade payables and other short-term monetary liabilities, are initially measured at fair value net of transaction costs directly attributable to the issuance of the financial liability. They are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability to the net carrying amount on initial recognition.

Amounts payable in respect of financial guarantees issued by the Company are initially measured at fair value (which is normally represented by cost), and subsequently measured at the higher of:

(i) the amount of the ECL loss allowance determined in accordance with IFRS 9; and
(ii) the amount initially recognised less, when appropriate, the cumulative amount of income recognised in accordance with the principles of IFRS 15.

Amounts payable in respect of financial guarantees are reported within provisions, and the movement in the year is charged to the income statement within impairment expenses.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the Company's obligations are discharged, cancelled, or they expire.

1 Accounting policies (continued)

1.11 Offsetting financial instruments

Financial assets and liabilities are offset, and the net amount is reported in the statement of financial position, when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events, and it must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

1.12 Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the Company.

1.13 Derivatives

Derivatives are initially recognised at fair value at the date a derivative contract is entered into and are subsequently remeasured to fair value at each reporting end date. The resulting gain or loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

A derivative with a positive fair value is recognised as a financial asset, whereas a derivative with a negative fair value is recognised as a financial liability. A derivative is presented as a non-current asset or liability if the remaining maturity of the instrument is more than 12 months and it is not expected to be realised or settled within 12 months. Other derivatives are classified as current.

1.14 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies (continued)

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the income statement, except when it relates to items charged or credited directly to 'other comprehensive income', in which case the deferred tax is also dealt with in 'other comprehensive income'. Deferred tax assets and liabilities are offset when the Company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.15 Provisions

Provisions are recognised when the Company has a legal or constructive present obligation as a result of a past event and it is probable that the Company will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting end date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

1.16 Leases

At inception, the Company assesses whether a contract is, or contains, a lease within the scope of IFRS 16. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Where a tangible asset is acquired through a lease, the Company recognises a right-of-use asset and a lease liability at the lease commencement date. Right-of-use assets are included within property, plant and equipment, apart from those that meet the definition of investment property.

1 Accounting policies (continued)

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs and an estimate of the cost of obligations to dismantle, remove, refurbish or restore the underlying asset and the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of other property, plant and equipment. The right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are unpaid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Lease payments included in the measurement of the lease liability comprise fixed payments, variable lease payments that depend on an index or a rate, amounts expected to be payable under a residual value guarantee, and the cost of any options that the Company is reasonably certain to exercise, such as the exercise price under a purchase option, lease payments in an optional renewal period, or penalties for early termination of a lease.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in: future lease payments arising from a change in an index or rate; the Company's estimate of the amount expected to be payable under a residual value guarantee; or the Company's assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of- use asset has been reduced to zero.

The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases of machinery that have a lease term of 12 months or less, or for leases of low-value assets including IT equipment. The payments associated with these leases are recognised in profit or loss on a straight- line basis over the lease term.

1.17 Foreign exchange

Transactions in currencies other than US dollars are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation are included in the income statement for the period.

2 Adoption of new and revised standards and changes in accounting policies

During the financial year, the Company adopted the following new IFRSs (including amendments thereto) and IFRIC interpretations, that became effective for the first time.

Standard	Effective date
IFRS 16 Leases	1 January 2019
IFRIC Interpretation 23 - Uncertainty over Income Tax Treatments	1 January 2019
Amendments to IFRS 9 - Prepayment Features with Negative Compensation	1 January 2019
Amendments to IAS 28 - Long-term Interests in Associates and Joint Ventures	1 January 2019
Annual improvements 2015-2017 cycle	1 January 2019
Amendments to IAS 19 - Plan amendment, Curtailment or Settlement	1 January 2019

Their adoption has not had any material impact on the disclosures or amounts reported in the financial statements except as set out below:

IFRS 16 Leases (as issued by the IASB in January 2016) is effective for all accounting periods beginning on or after 1 January 2019, and in accordance with the transition requirements, comparative information for 2018 has not been restated and transitional adjustments have been accounted for through retained earnings at 1 January 2019, the date of initial application.

IFRS 16 introduces new or amended requirements with respect to lease accounting. It introduces significant changes to the lessee accounting by removing the distinction between operating and finance leases and requires the recognition of a right-of-use asset and a lease liability at commencement for all leases, except for short-term leases and leases of low value assets.

IFRS 16 changes how the Company accounts for leases previously classified as operating leases under IAS 17, which were off balance sheet.

The Company now recognises right-of use assets and lease liabilities in the statement of financial position, initially measured at the present value of future lease payments. Depreciation on right-of-use assets and interest on lease liabilities is recognised within the income statement.

For short term leases and leases of low value assets, the Company has opted to continue to recognise the lease expense within administrative expenses, on a straight line basis as permitted by IFRS 16.

The impact on the income statement for 2019 is as follows:

	$'000
Increase in finance costs	449
Increase in depreciation expense	925
Decrease in administrative expenses	(960)
Decrease in profit for the year	414

2 Adoption of new and revised standards and changes in accounting policies (continued)

The impact on assets, liabilities and equity at 1 January 2019 is as follows:

	$'000
Right of use assets	5,639
Lease liabilities	(5,887)
Deferred tax	43
Decrease to retained earnings	(205)

An incremental borrowing rate of 5% was applied to all lease liabilities recognised in the statement of financial position at the date of initial application.

The nature of the leasing activities is in relation to the rental of office premises.

Standards which are in issue but not yet effective

At the date of authorisation of these financial statements, the following standards and interpretations, which have not yet been applied in these financial statements, were in issue but not yet effective (and in some cases had not yet been adopted by the EU).

Standard	Effective date
Conceptual Framework and Amendments to References to the Conceptual Framework in IFRS Standards	1 January 2020
Amendments to IFRS 3 - Business Combinations	1 January 2020
Amendments to IAS 1 and IAS 8 - Definition of Material	1 January 2020
Interest Rate Benchmark Reform: amendments to IFRS 9, IAS 39 and IFRS 7	1 January 2020
IFRS 17 - Insurance Contracts	1 January 2021

The directors do not consider that these standards will have a material impact on the financial statements.

3 Critical accounting judgements and key sources of estimation uncertainty

In the application of the Company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised, if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

The significant judgements, estimates and assumptions made have been described below:

Critical judgements

Recognition of deferred tax assets

The extent to which deferred tax assets can be recognised is based on an assessment of the probability of the Company's future taxable income against which the deferred tax assets can be utilised. Deferred tax is recognised on tax losses not yet used and on temporary differences where it is probable that there will be taxable revenue against which these can be offset. Management has made judgement as to the probability of future taxable revenues being generated against which tax losses will be available for offset based on budgets, current and future economic conditions.

Key sources of estimation uncertainty

Impairment of financial instruments

The recognition and measurement of ECLs under IFRS 9 is a complex process which involves the use of significant judgement and estimation. The calculation of expected loss requires assimilation of forward-looking information into the Probability of Default (PD) and ECL estimates which are used to meet the IFRS 9 measurement requirements. Financial assets which are considered as performing loans, on which 12 month ECL is recognised, are classified as Stage 1; financial assets which are considered to have experienced a significant increase in credit risk are in Stage 2, and financial assets for which there is objective evidence of impairment and are considered to be in default or otherwise credit-impaired are in Stage 3. Lifetime ECLs are booked on Stage 2 and 3 assets.

The classification of a financial asset across the three Stages therefore has a significant impact upon the level of impairment provision raised in a financial period. The Company uses its internal credit risk assessment and ratings review as a basis for this calculation, establishing a methodology that management can benchmark against external credit ratings and market practice, and apply consistently as part of its ongoing risk management control process.

3 Critical accounting judgements and key sources of estimation uncertainty (continued)

Fair value of financial instruments

The Company has certain financial assets and liabilities which are measured at fair value. Where fair value is not able to be determined based on quoted price, a valuation model has been used. The inputs to these models are observable, where possible, however these techniques involve significant estimate and therefore fair value of the instruments could be affected by changes in these assumptions and inputs.

Revenue recognition - Long Term Contracts

The Company undertakes long term contracts which span a number of reporting periods. Recognition of revenue requires consideration of the contractual terms of the contract, and identification of the related performance obligations, to assess where the Company is acting as principal or agent, as well as estimation of the future costs of completing the contract and the expected outcome of the contract, in respect of any variable consideration arising. The assumptions are based on the information available to management at the reporting date, however future changes or additional information may mean the expected revenue recognition pattern has to be amended.

Impairment of property, plant and equipment

Management reviews its estimate of the useful lives of depreciable assets at each reporting date, based on the expected utility of the assets. Uncertainties in these estimates relate to technical obsolescence that may change the utility of certain equipment.

4 Revenue

An analysis of the Company's revenue is as follows:

	2019 $'000	2018 $'000
Revenue analysed by geographical location		
Europe, Middle East, Africa (EMEA)	209,808	77,094
America	176,238	102,792
Asia Pacific	33,568	53,733
	419,614	233,619

Interest income, which is recognised under the effective interest rate method, included within the above totals $1,551,000 (2018: $nil).

5 Operating profit

Operating profit for the year is stated after charging/(crediting):	2019 $'000	2018 $'000
Exchange losses/(gains)	2,683	(182)
Fees payable to the Company's auditor for the audit of the Company's financial statements	120	98
Depreciation of property, plant and equipment	1,366	344
Depreciation of right-of-use assets	925	-
Loss on disposal of property, plant and equipment	284	-
Profit on disposal of investments	-	(128)
Amortisation of intangible assets	35	-
Short-term lease expense	264	-

6 Employees

There were no employees during the year apart from the directors, who were remunerated by another Group company.

7 Finance income

	2019 $'000	2018 $'000
Interest income		
Interest charged to Group companies	558	2,438
Other interest income	890	79
	1,448	2,517

8 Finance Costs

	2019 $'000	2018 $'000
Interest charged by Group companies	2,361	-
Lease interest expense	449	-
Other interest payable	35	1,266
	2,845	1,266

9 Other gains and losses

	2019 $'000	2018 $'000
Change in value of financial assets at fair value through profit or loss (see note 16 for further details)	2,035	-

10 Income tax expense

	2019 $'000	2018 $'000
Current tax		
UK corporation tax on profits for the current period	3,698	3,594
Adjustments in respect of prior periods	(183)	623
Foreign taxes	38	-
	3,591	4,217
Deferred tax		
Deferred tax charge	2,753	4,086
Total tax charge	6,344	8,303

The charge for the year can be reconciled to the profit per the income statement as follows:

	2019 $'000	2018 $'000
Profit before taxation	38,134	41,650
Expected tax charge based on a corporation tax rate of 19.00%	7,245	7,914
Effect of expenses not deductible in determining taxable profit	175	18
Income not taxable	-	(24)
Effect of change in UK corporation tax rate	(402)	387
Under/(over) provided in prior years	(183)	623
Deferred tax adjustments in respect of prior years	(666)	(623)
Foreign exchange differences	137	-
Other tax adjustments	-	8
Foreign taxes	38	-
Taxation charge for the year	6,344	8,303

11 Intangible assets

	Software $'000
Cost	
At 31 December 2018	-
Additions	418
At 31 December 2019	**418**
Amortisation and impairment	
At 31 December 2018	-
Charge for the year	35
At 31 December 2019	**35**
Carrying Amount	
As 31 December 2019	383
At 31 December 2018	-

12 Property, plant and equipment

	Right-of-use assets	Leasehold improvements	Artwork	Office equipment	Total
	$'000	$'000	$'000	$'000	$'000
Cost					
At 1 January 2018	-	429	405	762	1,596
Additions	-	392	-	990	1,382
At 31 December 2018	-	821	405	1,752	2,978
Transition to IFRS 16	5,639	-	-	-	5,639
Additions	8,101	6,386	115	835	15,437
Disposals	-	(273)	-	(81)	(354)
At 31 December 2019	13,740	6,934	520	2,506	23,700
Accumulated depreciation					
At 1 January 2018	-	56	-	303	359
Charge for the year	-	64	-	280	344
At 31 December 2018	-	120	-	583	703
Charge for the year	925	870	-	496	2,291
Eliminated on disposal	-	(65)	-	(7)	(72)
At 31 December 2019	925	925	-	1,072	2,922
Carrying amount					
At 31 December 2019	12,815	6,009	520	1,434	20,778
At 31 December 2018	-	701	405	1,169	2,275

13 Investments

	Investments in subsidiaries $'000
At 1 January 2019	112
Additions	25,681
Disposals	(25,000)
At 31 December 2019	793

On 13 May 2019 the Company subscribed an additional $681,000 and on 19 June 2019 an additional $25,000,000 in GAM Greensill Supply Chain Finance Fund ScSp. On 17 December 2019 the $25,000,000 investment was redeemed.

14 Subsidiaries

Details of the Company's subsidiaries at 31 December 2019 are as follows:

Name of undertaking	Country of incorporation	Ownership interest (%)	Voting power (%)	Nature of business
Greensill Capital Securities Limited (09595415)	England & Wales	100.00	100.00	Arrangement of securities
Greensill Capital Investments Limited (10489840)	England & Wales	100.00	100.00	Financing
Greensill Limited (11344883)	England & Wales	100.00	100.00	Financing
Greensill Trading Limited (12329861)	England & Wales	100.00	100.00	Financing
Greensill Trading 2 Limited (12354521)	England & Wales	100.00	100.00	Financing
Greensill Trading 3 Limited (12365031)	England & Wales	100.00	100.00	Financing
Greensill Trading 4 Limited (12373206)	England & Wales	100.00	100.00	Financing
GAM Greensill Supply Chain Finance Fund SCSp (B207546)	Luxembourg	0.172	100.00	Financing
Greensill GmbH (HRB 114964)	Germany	100.00	100.00	Management services
Greensill Capital Securities (Malta) Limited (C91376)	Malta	100.00	100.00	Arrangement of securities

All of the above except GAM Greensill Supply Chain Finance Fund ScSp, Greensill GmbH and Greensill Capital Securities (Malta) Limited are registered at One Southampton Street, Covent Garden, London, WC2R 0LR.

GAM Greensill Supply Chain Finance Fund ScSp is registered at 25, Grand-Rue, L-1661 Luxembourg, Grand Duchy of Luxembourg.

Greensill GmbH is registered at Mainzer Landstr. 50, 60325 Frankfurt am Main, Germany.

Greensill Capital Securities (Malta) Limited is registered at 171, Old Bakery Street, Valetta VLT 1455, Malta.

15 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current and prior reporting period.

	Accelerated capital allowances $'000	Other timing differences $'000	Tax losses $'000	Total $'000
Deferred tax asset at 1 January 2018	(130)	-	7,525	7,395
Deferred tax movements in prior year				
Charge to profit or loss	(5)	-	(4,704)	(4,709)
Adjustments in respect of prior periods	-	-	623	623
Deferred tax asset at 31 December 2018	(135)	-	3,444	3,309
Deferred tax movements in the current year				
Charge to profit or loss	(83)	(57)	(3,279)	(3,419)
Adjustments in respect of prior periods	-	476	190	666
Transition to IFRS 16	-	43	-	43
Deferred tax asset at 31 December 2019	(218)	462	355	599

16 Financial assets

	2019 $'000	2018 $'000
Financial assets at FVTPL		
Derivatives	51,561	25,000
Trading assets	213,318	61,926
Loan notes and participations	13,404	3,965
Unlisted equity investments	354	359
	278,637	91,250
Financial assets at amortised cost		
Working capital assets	3,048	10,396
Provision for credit losses	-	(7,678)
	3,048	2,718
	281,685	93,968

Loan notes and participations relate to contingent convertible loan notes and silent participations held in Greensill Bank AG, a related party of the Company.

During the year there were $2,035,000 (2018: $nil) gains through profit or loss, arising from revaluation of these positions.

17 Trade and other receivables

	2019 $'000	2018 $'000
Trade receivables	42,911	9,899
Amounts owed by fellow group undertakings	12,696	50,670
Other receivables	5,992	1,172
VAT receivable	1,155	724
Prepayments and accrued income	64,187	37,574
	126,941	100,039

18 Trade and other payables

	2019 $'000	2018 $'000
Amounts owed to fellow Group undertakings	219,465	30,489
Accruals	197,269	29,160
Trade payables	32,067	69,176
	448,801	128,825

19 Lease liabilities

	2019 $'000	2018 $'000
Current	739	-
Non-current	13,889	-
	14,628	-

Maturity analysis

	2019 $'000	2018 $'000
Due within one year	739	-
Due between one and two years	1,463	-
Due between two and five years	5,199	-
Due after more than five years	7,227	-
	14,628	-

The finance cost recognised on the above lease liabilities during the year was $449,000.

20 Provisions

	2019 $'000	2018 $'000
Provision for expected credit losses	59,269	16,558

21 Financial liabilities

Financial liabilities at fair value through profit and loss (FVTPL)	2019 $'000	2018 $'000
Derivatives	3,077	-

22 Fair value measurement

In accordance with IFRS 13 Fair Value Measurement, the Company has classified its financial instruments into a three-level fair value hierarchy based on the priority of inputs to the valuation technique.

The following table presents the carrying value of financial instruments held at fair value across the three levels of the fair value hierarchy:

Fair value hierarchy 2019	Level 1 $'000	Level 2 $'000	Level 3 $'000
Assets			
Derivatives	1,561	-	50,000
Trading assets	-	213,318	-
Contingent convertible loan notes	-	13,404	-
Unlisted equity investments	-	-	354
	1,561	226,722	50,354
Liabilities			
Derivatives	3,077	-	-

Fair value hierarchy 2018	Level 1 $'000	Level 2 $'000	Level 3 $'000
Assets			
Derivatives	-	-	25,000
Trading assets	-	61,926	-
Contingent convertible loan note	-	3,965	-
Unlisted equity investments	-	-	359
	-	65,891	25,359

22 Fair value measurement (continued)

Fair value measurements

Contingent convertible notes have been valued based on recent market transactions. Derivatives relate to an equity warrant and foreign exchange forward contracts.

The fair value of warrants have been derived using a valuation model for the Company which the warrant is held over. The inputs to the model include a third party valuation of the assets of the Company and other observable inputs, where possible.

The fair value of foreign exchange forward contracts has been derived from third party valuations.

Trading assets are assets held on a short term basis prior to distribution to an investor, hence fair value is deemed to be the transaction price.

Contingent convertible notes have been valued based on recent market transactions.

Unlisted equity investments are not actively traded hence have been valued using internal valuation models.

The following table summarises the changes in Level 3 financial assets:

	Derivatives $'000	Unlisted equity investments $'000
At 1 January 2019	25,000	359
Settlement	(25,000)	-
Addition	50,000	-
Foreign exchange movement	-	(5)
At 31 December 2019	50,000	354

23 Share capital

	2019 $	2018 $
Ordinary share capital		
Issued and fully paid		
1 Ordinary share of £1	1	1
1,347,865 Ordinary shares of $0.01 each	13,479	13,479
	13,480	13,480

24 Capital risk management

The Company is not subject to any externally imposed capital requirements.

25 Commitments and contingencies

As at 31 December 2019 the Company had committed capital expenditure amounting to $2,905,124 (2018: $nil).

The Company has provided an intercompany loan facility to a fellow Group undertaking totalling $10,000,000 (2018: $nil). The facility was fully undrawn at the period end.

26 Controlling party

Greensill Capital (UK) Limited is a wholly owned subsidiary of Greensill Capital Pty Limited, a company registered in Queensland, Australia (154 088 132). The ultimate parent is Greensill Capital Pty Limited.

In the opinion of the directors the ultimate controlling party is Alexander Greensill.

27 Related party transactions

Remuneration of key management personnel

Key management personnel, including all directors, received $14,643,229 (2018: $1,929,131) during the year in respect of services to the Company. The increase is attributable to a doubling of the size of the executive team, the granting of share options and the outstanding performance of the business. This remuneration is paid by a fellow subsidiary undertaking and then recharged as a management fee to the Company.

Other transactions with related parties

The following amounts relating to transactions with related parties are included within the income statement:

	2019 $'000	2018 $'000
Management fees charged by Group undertakings	(212,712)	(67,113)
Management fees charged to Group undertakings	2,850	618
Interest received from Group undertakings	558	2,438
Interest paid to Group undertakings	(2,362)	-
Property rental paid to a member of key management personnel	(9)	-
Revenue received from sales with an entity under common control of a member of key management personnel	78	267
Purchase of administration services from an entity under common control	(369)	(347)
Fair value gain on revaluation of contingent convertible loan notes held in a Group undertaking	2,035	-

The following balances with related parties are outstanding on the statement of financial position at the year end:

	2019 $'000	2018 $'000
Amounts owed by Group undertakings	12,696	50,670
Amounts owed to Group undertakings	(219,465)	(30,489)
Accrued fees owed to Group undertakings	(15,068)	-

During the year a loan was provided from a member of key management personnel for $25,000,000. The loan was fully repaid during the year.

The Company provided a contribution of $5,326,000 to Greensill Capital Employee Benefit Trust during the year, which has been recognised as a distribution directly within reserves.

28 Interests in unconsolidated structured entities and transferred assets

Interests in unconsolidated structured entities

The Company uses a number of bankruptcy remote structured entities in the ordinary course of business to facilitate the distribution of assets to investors.

Although the Company does not consider itself to control the structured entities and therefore does not consolidate them, it does consider itself to be the sponsor.

The Company considers itself a sponsor of a structured entity when it facilitates the establishment of the structured entity, provides operational support to the structured entity and transfers assets to the structured entity.

The carrying amount of financial assets transferred to sponsored structured entities throughout the year, at the time of transfer, was $38.4bn (2018: $28.0bn). These assets were transferred at a total discount of $495m (2018: $290m).

The Company has agreed to cover the administrative expenses of the unconsolidated structured entities, amounting to $4,084,000 (2018: $4,965,000) for the year.

The Company will continue to reassess whether it has control over these structured entities on an ongoing basis, and will commence consolidation from the point that control is deemed to have passed.

Transfers of Financial Assets that are derecognised in their entirety

All transfers to structured entities undertaken by the Company result in the Company derecognising the transferred assets in their entirety. This is the case as the Company transfers substantially all of the risks and rewards of ownership of financial assets to the unconsolidated structured entity however does sometimes retain a relatively small interest in the asset arising from exposure to first losses under insurance policies, credit default swaps or loss absorption mechanisms, where these credit risk mitigants are required by the end investor. As the financial assets are derecognised in their entirety, the interest in the unconsolidated structured entity that the Company receives as part of the transfer represents continuing involvement with those assets.

The Company also transfers assets directly to a common subsidiary, Greensill Bank AG, whereby again it retains a small interest in the asset arising from exposure to first losses under insurance policies.

The maximum exposure to loss arising from the Company's exposure to first losses under the insurance policies amounts to $1,036m (2018: $428m). However, management focus is on the expected credit losses arising from the exposure, which adjusts the maximum exposure to reflect the(i) the probability of default of the underlying obligors and (ii) expected recovery amounts should a loss arise. Under IFRS 9 *management* have calculated the expected credit losses arising from the exposure under these insurance contracts as $59.3m (2018: $16.6m). See note 29 for further details regarding the provision for expected credit losses.

28 Interests in unconsolidated structured entities and transferred assets (continued)

The following table sets out the Company's expense relating to its continuing involvement with transferred assets to unconsolidated structured entities that are derecognised in their entirety.

	2019 $'000	2018 $'000
Expense recognised from the Company's continuing involvement		
For the reporting period	55,258	18,662
Cumulative	71,817	18,662

Expense relating to the Company's continuing involvement in the transferred assets relates to the cost of providing the insurance and credit default swaps for the end investors, as well as the amount charged to the income statement for the provision for expected credit losses arising from assets where the Company has continuing involvement. The expense for the period and the cumulative expense was the same in 2018 as the provision for expected credit losses was implemented from 1 January 2018 in accordance with IFRS 9.

There is no contractual requirement for any of the transferred assets to be repurchased from the structured entities.

29 Financial risk management

The main risks arising from the Company's financial instruments are credit risk, liquidity risk and currency risk. The directors review and agree policies for managing these risks and these are summarised below. Short-term debtors and creditors have been excluded from all the following disclosures:

(a) Liquidity risk

The Company seeks to manage financial risk, to ensure sufficient liquidity is available to meet foreseeable needs and to invest cash assets safely and profitably. This is achieved by placing surplus funds on deposit as and when the directors deem appropriate.

(b) Currency risk

The Company is exposed to foreign exchange risk. Foreign exchange risk is mitigated through taking swap positions and holding foreign currency cash reserves.

(c) Fair values

The fair values of the Company's financial instruments are considered to be equal to their book value.

29 Financial risk management (continued)

(a) Credit risk

The Company originates and distributes working capital assets to investors, and in some instances, has continuing involvement in those distributed assets by way of exposure to first losses under insurance policies, credit default swaps or loss absorption mechanisms, where these credit risk mitigants are required by the end investor. The Company has established a credit risk function, with appropriate policies and procedures, to review the credit quality of the working capital assets before they are originated, regardless of the mechanism for distribution. Whilst Greensill typically derecognise these assets on distribution, the Company believe this process is important from a brand perspective, as they only want to originate assets which meet the Company's internal credit quality criteria.

The Company therefore calculates a provision for expected credit losses relating to its expected losses under those policies and mechanisms. The balance is included within provisions on the Statement of Financial Position.

The Company also calculates a provision for expected losses for any amortised cost assets held at the period end. This provision is presented net against the corresponding financial assets, as shown in note 16.

The table below represents an analysis of the provision for expected credit losses:

	2019 $'000	2018 $'000
Provisions for distributed assets	59,269	16,558
Provisions against financial assets	-	7,679
	59,269	24,237

29 Financial risk management (continued)

Reconciliation of changes in the allowance for expected credit losses is as follows:

	2019			
	Stage 1	Stage 2	Stage 3	Total
	$'000	$'000	$'000	$'000
Balance at beginning of the year	16,558	-	7,679	24,237
Increase in loss allowance arising from new financial assets originated and distributed in the year	41,748	-	-	41,748
Decrease in loss allowance from derecognition of financial assets in the year	(6,222)	-	-	(6,222)
Net transfers between stages	(447)	124	323	-
Net remeasurement of loss allowance	-	4,008	3,177	7,185
Repurchase of credit impaired assets	-	-	2,665	2,665
Amounts written off during the year	-	-	(10,344)	(10,344)
	51,637	4,132	3,500	59,269

	2018			
	Stage 1	Stage 2	Stage 3	Total
	$'000	$'000	$'000	$'000
Balance at beginning of the year	-	-	7,740	7,740
IFRS 9 loss allowance restatement	3,117	-	-	3,117
Increase in loss allowance arising from new financial assets originated and distributed in the year	13,441	-	-	13,441
Decrease in loss allowance from derecognition of financial assets in the year	-	-	(61)	(61)
	16,558	-	7,679	24,237

The increase in the provision for expected credit losses is driven by the increased volume of assets originated and distributed during 2019.

30 Cash generated from/ (absorbed by) operations	2019	2018
	$'000	$'000
Profit for the year after tax	31,790	33,347
Adjustments for:		
Taxation charged	6,344	8,303
Finance costs	2,845	1,266
Finance income	(1,448)	(2,517)
Loss on disposal of property, plant and equipment	284	-
Gain on disposal of investments	-	(128)
Amortisation and impairment of intangible assets	35	-
Depreciation and impairment of property, plant and equipment	2,291	344
Fair value gains	(2,035)	-
Foreign exchange movement	910	16
Derivative financial instruments	(23,484)	(25,000)
Increase in provisions	35,033	18,774
Movements in working capital:		
Increase in trading assets	(144,044)	(42,312)
(Increase)/decrease in trade and other receivables	(26,902)	143,685
Increase/(decrease) in trade and other payables	319,976	(139,353)
Cash generated from/(absorbed by) operations	201,595	(3,575)